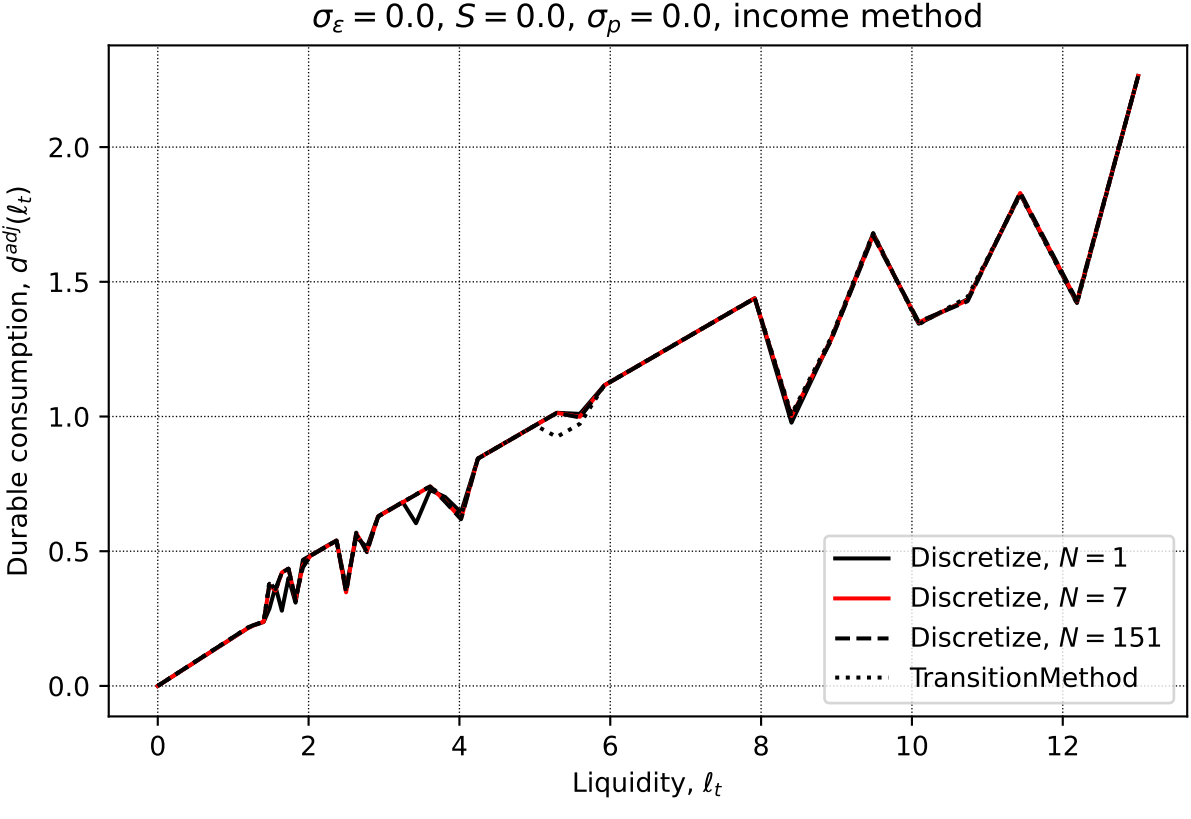
$\sigma_\epsilon = 0.0$, $S = 0.0$, $\sigma_p = 0.0$, income method
Durable consumption, $d^{adj}(\ell_t)$
Liquidity, ℓ_t
0.0
0.5
1.0
1.5
2.0
0
2
4
6
8
10
12
Discretize, $N = 1$
Discretize, $N = 7$
Discretize, $N = 151$
TransitionMethod